

ASSIGNMENT

SET OFF AND CARRY FORWARD OF LOSSES

Meaning of Set Off of Losses

Set off means adjusting losses against income or profits from another source or head during the same FY.

Type	Meaning
Intra Head Set off	Adjustment of loss from one source against income from another source under the same head.
Inter Head Set off	Adjustment of loss under one head against income under another head.

Intra Head Adjustment - Loss from one business can be adjusted with profit from another business.

Inter Head Adjustment -

Loss Under Head	Can be set off Against	Restrictions
1. House Property Loss	Any other head of Income	Max. 200,000 per year
2. Business Loss	Any head except salary	Can't be adjusted with salary income.
3. Capital Loss	Only against capital gains	STCL can be set off against STCL & LTCL.
4. Speculative Business Loss	Only speculative income.	Cannot be set off against normal business income.

Carry Forward of Losses

If losses cannot be completely adjusted in the same year, they may be carried forward to future years.

Types of Loss	Year allowed for ^{carry} forward	Can be set off against
1. House Property	8 years	Income from House Property
2. Business	8 years	Business Income
3. Speculative Business	4 years	Speculative Business Income
4. STCL	8 years	STCG or LTCG
5. LTC L	8 years	Only LTCG
6. Unabsorbed Dep ⁿ	Unlimited	Any business Income

Conditions for Carry Forward of Losses

Condition	Explanation
Return must be filed on time	Loss should be declared in the income tax return filed within due date.
Same taxpayer	Loss can only be carried forward by the same taxpayer
Time limit	Loss can be carried forward only for the specified number of years.

Clubbing of Income

Meaning of Clubbing of Income:

Clubbing of income means including the income of another person in the income of the taxpayer under certain situations. This rule is introduced to prevent tax evasion through transfer of income or assets to family members.

Situations where clubbing of income applies

Section	Situation	Income clubbed with
Section 60	Transfer of income without transferring assets.	Transferor
Section 64(1)(ii)	Income of spouse from concern where individual has substantial int.	Individual
Section 64(1)(iv)	Income from asset transferred to spouse.	Individual
Section 64(1)(vi)	Income from assets transferred to Son's wife	Individual
Section 64(1A)	Income of minor child	Parent

Clubbing of Minor's Income

Particulars	Details
Income included with exemption allowed	Parent having higher income ₹1500 per child
Exemption	If minor earns income through own skill, talent or disability

Examples of Clubbing of Income

Situation	Result
• Husband transfers ₹500,000 to wife and she earns interest.	Interest income will be added to husband's income.
• Parent invests money in minor child's name.	Income will be taxed in parent's hands.

Set off and carry forward of losses helps taxpayers reduce their tax liability by adjusting losses against future income.

Clubbing of income provisions ensure that taxpayer do not avoid taxes by transferring income to relatives.

Thus, these provisions maintain fairness and transparency in the taxation system.

GST

Meaning of GST

- **GST (Goods and Services Tax)** is a **comprehensive indirect tax** levied on the **supply of goods and services** in India.
- It was introduced on **1st July 2017**.
- GST has **replaced multiple indirect taxes** like VAT, Excise Duty, Service Tax, etc.

Objectives of GST

1. To simplify the indirect tax structure.
2. To remove the cascading effect of taxes (“tax on tax”).
3. To create a unified national market.
4. To promote ease of doing business.
5. To increase tax compliance and transparency.

Type of GST	Levied By	Applies On	Example
CGST	Central Government	Intra-State supply	Sale within Karnataka
SGST	State Government	Intra-State supply	Sale within Karnataka
IGST	Central Government	Inter-State supply	Sale from Karnataka to Tamil Nadu
UTGST	Union Territory	Intra-UT supply	Sale within Chandigarh

GST Slab	Examples
0%	Fresh fruits, vegetables, milk
5%	Essentials – food grains, books
12%	Processed food, computers
18%	Services, industrial goods
28%	Luxury cars, tobacco, aerated drinks
